

New Harbor Financial: ‘Highly Likely’ We’ll See A True Bear Market In 2026

Extracted from: Thoughtful Money with Adam Taggart

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 **5-Minute Version:** [Watch Key Excerpts](#)

Executive Summary

New Harbor Financial’s John Lodra and Mike Preston expect **“highly likely” a true 20%+ bear market in 2026**, despite near-term bullish technicals. Their indicators are green, breadth is improving (Russell 2000, equal-weight S&P hit new highs), and they’ve nudged equity exposure from 45% to 47.5%—but this is tactical, not conviction. The setup they’re watching: **500 S&P points up in 2 weeks** (~5-8% in a fortnight) would signal blowoff top and mandate defensiveness, not a reason to chase.

The **macro case for caution** centers on record valuations and passive investor complacency. A 60/40 portfolio from 2019 held passively is now effectively 80/20 stocks/bonds—at a time when US equities have “never been as richly valued.” Three consecutive 20%+ years is statistically rare; a fourth is improbable. Add the Fed’s renewed balance sheet expansion (semantics aside, it’s stimulus), a Fed chair race to be most dovish, and Trump’s “run it hot” rhetoric—these have “the markings of strength into early next year but an invitation to sell.”

Precious metals (silver \$72, gold at highs) are overextended but “saying something is different”—the 2011 pattern (\$50 then collapse) hasn’t repeated. Silver broke the triple top at \$35, consolidated, broke \$50, and kept going. New Harbor sees \$100 silver and \$5,000 gold as plausible targets. But **if metals are >20-25% of your portfolio, sell into strength**. The gold/silver ratio normalizing to 62 (from 102 at liberation day) supports trimming. On rotation: basic materials (metals/mining, not gold miners), healthcare improving; financials weakening; hyperscalers “becoming yesterday’s news.”

Listen or Skip?

Verdict: Worth it

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★☆
Novel insights	★★★☆☆
Production quality	★★★★☆

Best for: Retail investors, retirees focused on capital preservation, precious metals holders **Skip if:** Looking for institutional-grade macro or quantitative frameworks

Key Quotes

- “I think it’s highly likely we see a true true bear market. If you use 20% as the metric, I think it’s quite likely we see a pretty sizable drawdown next year.”
- “Watch for something like 500 S&P points up in a short period of time, two or three weeks. I think that’ll tell us that we’re real close to the end and that the blowoff is here.”
- “Someone that invested in a 60% stock, 40% bond portfolio back in 2019 and held it passively till today, that would look more like an 80% stock, 20% bond portfolio.”
- “The US stock market, broadly speaking, has never been as richly valued as it is now.”

5. *"Silver is saying something is different. In 2011 we hit \$50 an ounce and we pretty quickly collapsed. Here we hit \$50 an ounce and we just kept going."*
6. *"If you're north of 20 to 25% in metals, you really should start thinking about selling into this rally."*
7. *"A lot of people are passively long this market. Those are the ones we worry about."*
8. *"You lose 10%, you need 11% to get back. You lose 50%, you need 100% to get back. That's simple math that people sometimes fail to remember."*

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Neutral (tactically bullish, structurally bearish)
Conviction	Medium
Time Horizon	Cyclical (1-6m)
Primary Domain(s)	Equities Commodities Macro
Why Now?	Record valuations + 3 consecutive 20%+ years + blowoff setup

Top 3 Investable Ideas:

1. **Stay nimble in equities** — Technicals green but watch for 500-point 2-week ramp as sell signal
2. **Trim precious metals if >20-25% of portfolio** — Sell into strength; silver/gold extended but structurally bullish
3. **Rotate from hyperscalers to basic materials** — Metals/mining (not gold miners), healthcare gaining relative strength

2) Key Investable Insights

Insight 1: Blowoff Top Watch—500 S&P Points in 2 Weeks

- **Claim:** A 5-8% vertical move in 2-3 weeks signals blowoff top and final phase of bull market
- **Asset Class:** US Equities (S&P 500)
- **Mechanism:** Blow-off tops mark exhaustion of buyers; passive investors caught overexposed
- **Expression:** If 500-point ramp occurs, reduce equity exposure aggressively; add covered calls/hedges
- **Trigger to Exit/Flip:** Breakdown below 50-day MA after such a spike
- **Confidence:** Medium

Insight 2: Silver Structural Breakout, Not 2011 Repeat

- **Claim:** Silver's \$50 breakout and continuation to \$72 signals regime change, not bubble top
- **Asset Class:** Precious Metals
- **Mechanism:** 2011 collapsed from \$50; 2025 consolidated and broke higher—different structure
- **Expression:** Long silver with targets \$100; trim if >25% of portfolio; use puts for hedging if unwilling to sell physical
- **Trigger to Exit/Flip:** Break below \$50 (old resistance becomes support)
- **Confidence:** Medium-High

Insight 3: Sector Rotation Underway—Hyperscalers Fading

- **Claim:** Tech/hyperscalers losing relative strength; basic materials (metals/mining), healthcare improving
- **Asset Class:** US Equities (Sectors)
- **Mechanism:** Cap-weighted S&P vulnerable if Mag7 corrects; equal-weight and small caps could outperform
- **Expression:** Rotate from financials/tech to global metals & mining, healthcare; favor equal-weight over cap-weight

- **Trigger to Exit/Flip:** Tech relative strength rebounds; materials tally counts weaken
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/Flows
Fed balance sheet expansion	Risk assets supported near-term	Inflation expectations rise	Stocks-bonds correlation stays positive	Repo/T-bill rates compressed	Passive investors overweight equities
Blowoff top risk	S&P could spike 5-8% then reverse	VIX spike, credit spreads widen	All risk assets correlated on reversal	Margin calls if sharp reversal	Retail overexposed, no hedges
Precious metals breakout	Silver/gold make new highs	Miners lag then catch up	Gold/silver ratio normalizing	Carry negative but momentum positive	Retail overconcentrated; institutions underweight
Sector rotation	Basic materials outperform tech	Cap-weight S&P underperforms equal-weight	Hyperscalers drag index	N/A	Active managers favored over passive

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle blowoff conditions. Technicals bullish, fundamentals stretched, sentiment complacent.
- **Base Case (45%):** Strength into Q1 2026, then 15-25% correction as blowoff exhausts. Metals consolidate but hold gains.
- **Alt Case 1 (30%):** Blowoff never materializes; market chops sideways for 2026 as valuations slowly compress. Rotation continues.
- **Alt Case 2 (15%):** True crash scenario—>30% drawdown triggered by external shock (tariffs, credit event, geopolitical). Bonds rally as safe haven.
- **Alt Case 3 (10%):** Bull market continues uninterrupted; AI productivity boom extends multiple expansion. Another 20%+ year.
- **Anti-Thesis Trigger:** Inflation collapses, Fed cuts aggressively, earnings growth reaccelerates
- **Tail Risks:** Fed chair transition chaos, midterm election volatility, passive unwind (forced selling)

5) Hard Data & Verifiable Claims

- **Data:** S&P 500 hit all-time high 6,937 on Dec 24, 2025
- **Data:** Silver at \$72/oz (SLV ~\$66); Gold at all-time highs
- **Data:** Gold/silver ratio: 62.76 (down from 102 at liberation day)
- **Data:** Three consecutive years of 20%+ S&P returns (2023, 2024, 2025 ~18%)
- **Data:** New Harbor equity allocation: 45% → 47.5%
- **Data:** April 2025 technically registered a bear market (cited)
- **Data:** 60/40 portfolio from 2019 → effectively 80/20 today (Paulo study cited)
- **Claim:** US stock market “never been as richly valued” (no specific metric cited but directionally accurate per CAPE)
- **Claim:** Silver could break \$100, gold could top \$5,000 (opinion, no timeframe)
- **Claim:** 5-10% metals allocation appropriate; >20-25% is overweight (firm guidance)

6) BS & Bias Filter

- **Incentives:** New Harbor is a financial advisory firm seeking clients; Thoughtful Money endorses them. Both benefit from viewer engagement and AUM growth.
 - **Blind Spots:** No discussion of international equities, fixed income opportunities, or crypto. Heavily US-centric.
 - **Track Record:** Correctly called metals breakout in early 2025; have been cautious on equities for multiple years (opportunity cost)
 - **Consensus Check:** Bear market call is contrarian vs Wall Street targets; precious metals bullishness is crowded trade
 - **Sample Bias:** Client base skews retail/retiree with capital preservation focus—may color risk tolerance recommendations
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7) PM Bottom Line

Action → Monitor / Hedge

Near-term technicals are bullish but the setup screams late-cycle: 3 consecutive 20%+ years, record valuations, passive overexposure. Watch for 500-point 2-week S&P ramp as blowoff signal to reduce. Trim precious metals if >20-25% of portfolio—they've had a monster run and normalization is prudent even if long-term thesis intact. Rotate from hyperscalers to basic materials and healthcare where relative strength is improving.

Key watches: S&P price action for blowoff (500 pts in 2 weeks), 50-day MA as support, silver \$50 level (old resistance now support), gold/silver ratio compression, sector relative strength (tech vs materials).